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JITENDER BHARGAVA
FORMER ED, AIR INDIA



“The settlement of employee dues in alignment with NCLAT directives and ratified by the SC represents not a mere stride, but a bond towards legitimacy”

NARAYAN HARIHARAN
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this story say that while they have met Jalan on a few occasions, Fritsch, a German national, has always been conspicuous by his absence. The promoter of London-based Kalrock Capital Partners is described by his old associates in Europe as a flamboyant individual with a passion for expensive suits and watches, traits not usually associated with German ethos. “The new owners have no idea of the airline business... The saddest thing about this whole resolution plan is that the CoC didn’t conduct proper due diligence. Like in Air India’s case, so many people were interested in the airline, but the government didn’t just offload it to anyone with money,” says one of the ex-employees. Some in the industry also believe that the consortium owners are fronts for either former Jet Airways Chairman Naresh Goyal, currently in Enforcement Directorate custody for allegedly siphoning off hundreds of crores of rupees that Jet Airways had received as bank loans, or the Indian-origin Gupta brothers—Ajay, Atul and Rajesh—who are currently wanted in South Africa on charges of embezzling state funds. Separately, the day-to-day operations of the consortium is run by Jalan’s nephew Ankit Jalan, who is on the Executive Committee of JKC.

Sources close to JKC vehemently deny these claims. “Jalan and Fritsch have experience in turning around loss-making businesses. Both have always believed in taking challenges head-on. Since aviation is a high-expense business, they have a highly-skilled team of professionals who have worked with them for several years to keep business costs in check,” declares one of the persons. Arora of AviLeague also feels that merely focussing on their lack of prior experience in the aviation industry may not be the best way to assess their intent. “It is said that running an airline is not for the faint-hearted, and the consortium has put all its might behind the airline in the past two years.” Therefore, a lack of pedigree cannot be an excuse to bar them from the process.

In a sharp analysis, Jitender Bhargava, former Executive Director of Air India tells *BT* that the unfolding situation “paves the way for further questions on the credibility of the revival, the practicality of the business plan, and the suitability of the new promoters to run an aviation business”. A better approach would have been for the promoters to secure finances before commencing the revival operation. Comparing Jet Airways 2.0 with Akasa Air—that had announced its intent to launch operations around the same time—he points out, “Akasa made it be known that they were good to place an order for 70 plus aircraft, had ₹240 crore in initial financing from [the late] stock market investor Rakesh Jhunjhunwala, and the time period in which they would be commencing operations.” Yet Jet Airways 2.0, despite having a CEO, CFO and director of operations in place, did nothing of that sort. He says the regulator must proactively verify any future business proposals to ensure transparency and strategic soundness of would-be promoters. “DGCA should not allow the initiative to rest with the airline. It is sufficiently